

been in fits and starts, and with proposals having been withdrawn due to concerns from ministries or prevailing market conditions. Over the years, the actual disinvestment proceeds have been lower than estimated and have been scaled down in the Revised Estimates from the Budget Estimates. Even in FY24, the target from miscellaneous capital receipts was lowered to ₹30,000 crore in the Interim Budget from the earlier ₹61,000 crore (which included ₹51,000 crore from disinvestment proceeds).

In recent months, disinvestment transactions have been put on hold due to the Model Code of Conduct for the General Elections. Stake sales are expected to pick up pace now, although experts believe it is unlikely that too many big transactions would take place in FY25, given that there are just about eight months left.

The Centre has also identified land parcels and buildings of BSNL and MTNL for monetisation.

A recent report by rating agency CareEdge highlights the potential for disinvestment, saying the government could raise as much as ₹11.5 lakh crore at current market rates, while maintaining a majority stake of 51%. “Indian Railway Finance Corporation, Hindustan Aeronautics, Coal India, and Oil and Natural Gas Corporation are the top firms in terms of divestment potential mathematically,” the report says, noting that the decision to divest in listed firms may be influenced by the industry’s strategic nature, the companies’ profitability, financial market conditions and welfare and social considerations.

Rahul Ahluwalia, Co-Founder & Director of the Foundation for Economic Development, points out that apart from Air India, there hasn’t been a strategic sale of a CPSE in recent years, although there have been a few PSU-to-PSU transfers. “It is highly advisable that the government should exit PSUs, but it is unlikely that this will happen. Greater disinvestment and privatisation in financial sector enterprises such as banks is advisable as they influence a lot of other sectors and the government stepping away will be good,” he says, adding that as of now, there is no indication of the new government’s stance on disinvestment and CPSE stake sales.

“But given that the ministry allocations have been retained, status quo is likely. We, however, do not expect to see too much disinvestment but we do not foresee a dramatic change in stance either,” he says.

Maulik Sanghavi, Partner-Corporate Finance and Investment Banking at accounting and tax advisory firm BDO India, concurs that there is a strong case for disinvestment in PSUs as the government has often supported them by providing them with business opportunities or funds. “These companies also need to be run professionally and efficiently,” he says. He points out that in the past year and a half, PSU stocks have been doing well and the government should think in terms of offloading some shares as it would be a good opportunity for both investors as well as the Centre.

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NATIONAL MONETISATION PIPELINE

